

Tata Consultancy Services Ltd

Ticker: TCS

ROE

50.9%

ROCE

60.2%

Net Profit Margin

19.1%

Debt/Equity

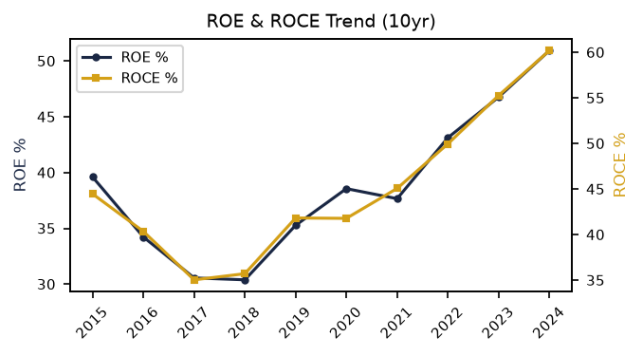
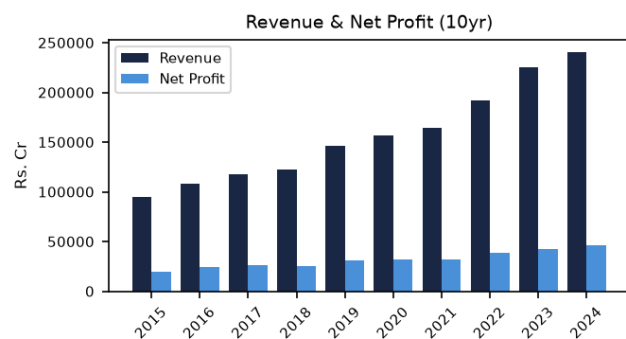
0.1

Revenue CAGR 5yr

10.5%

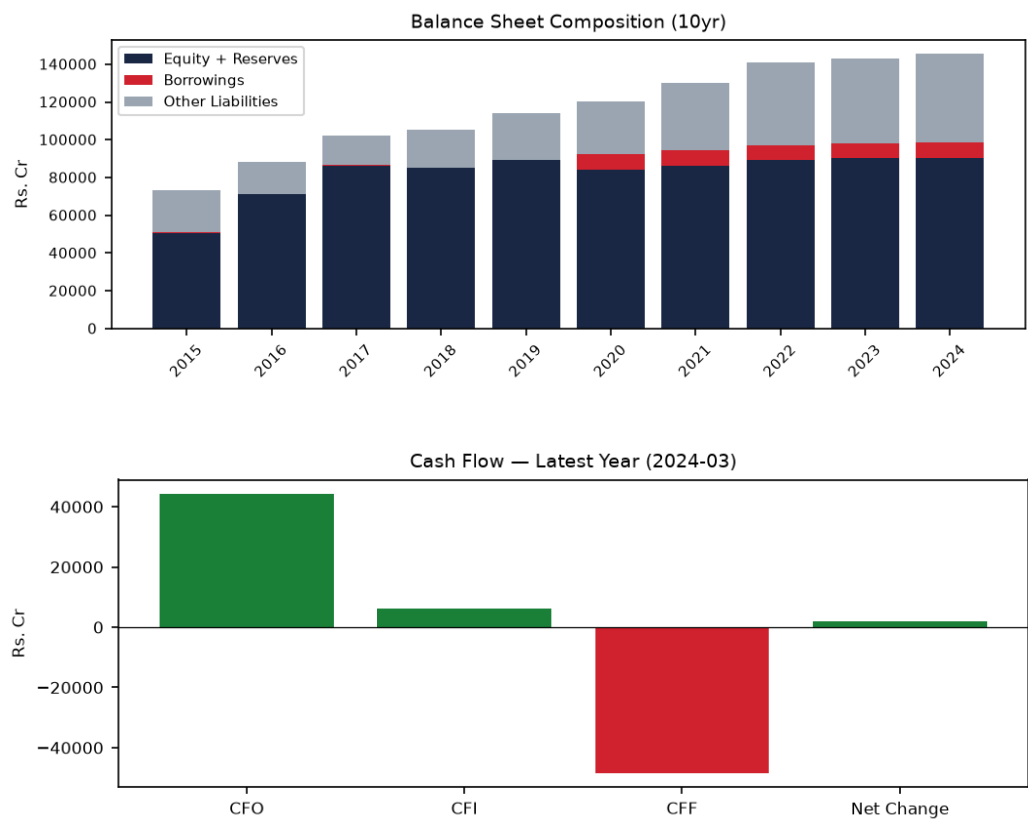
Free Cash Flow

50429.0 Cr



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Capital Allocation: Liquidating Assets

Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Profit growth (5yr CAGR) ranks in the bottom 75% relative to its peer group, comparatively weaker than the rest of its profile